OREGON ACCOUNTING MANUAL

Statewide Policy

NUMBER: 45.37.00

SUBJECT: Payroll: Review of Pay Period Leave Reports

EFFECTIVE DATE: 08/07/2026

POLICY OWNER: Office of the State Controller | Oregon Statewide Payroll Services (OSPS)

DIVISION: Chief Financial Office

LAST REVIEWED DATE: 08/07/2026

SUPERSEDES: Policy # 45.37.00 (06/29/2007)

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REFERENCE/AUTHORITY:

- ORS 292.010
- ORS 292.016
- ORS 292.022
- ORS 292.036
- ORS 292.170
- OAM 45.50.00
- OAM 45.55.00

APPROVED BY:

Kate Nass, Chief Financial Officer | Approval on File

Statement

This is the state's policy for agency management on the effective use of leave balance reports and coordination with the agency payroll office to manage the risk of payroll overpayments.

Applicability

This policy applies to all state agencies that are subject to the Oregon Accounting Manual (OAM), as outlined in OAM 01.05.00, *Introduction: Scope and Applicability*. If any provisions of OAM policies or procedures conflict with collective bargaining agreements, the provisions of collective bargaining agreements would supersede OAM guidance.

Definitions

Forecast: A payroll forecast is a financial projection that estimates an organization's total payroll expenses over a future period. It includes anticipated costs such as employee salaries and wages, overtime, payroll taxes, and benefits like health insurance and retirement contributions.

Run 1: This payroll run uses **forecasted** hours based on the employees' schedule and occurs around the 25th of each month in order to process payroll prior to the 1st of the next month.

Run 2: This payroll run occurs around the ninth of the next month to finalize an employee's pay based on time that was entered in the prior month.

Refer to OAM 65.00.00, *Glossary* for definitions.

Policy

Workday Payroll Processing

101. The state utilizes a **forecasted** payroll processing methodology. When **Run 1** is processed, each salaried employee is paid on the basis of a monthly hours forecast derived from individual work schedules. **Run 2** refines Run 1 by adding detailed information from the employee's timesheet, which may include leave hours taken.

102. An employee who works less than the **forecasted** schedule and has insufficient leave balances to support the time away from work may have been overpaid on **Run 1**. When **Run 2** is processed, the calculation will result in a negative pay condition representing the overpayment. Employees who terminate after being overpaid may represent a collection challenge for the agency. Continuing employees who frequently are in a leave-without-pay status could, as a result, be frequently overpaid.

Managing Risk of Overpayments

103. As required by paragraph 104 of OAM 45.50.00, *Payroll: Collection of Overpayment of Wages* and paragraph 104 of OAM 45.55.00, *Payroll: Collection of Employee Benefit Payment Amounts Paid by the Employer*, the employer agency or its agency payroll provider will run reports after payroll process are completed to determine if an overpayment has occurred. If an overpayment in the scope of either of those OAMs has occurred, the employer agency or its agency payroll provider shall follow the requirements outlined in the applicable OAM.

104. Supervisors shall review the leave reports timely, paying particular attention to employees who have low leave balances. Employees who have already used leave during the pay period may have depleted their leave balances. Employees who use leave or terminate during the last week of the month may not have enough leave to fully support those days away from work, creating a payroll overpayment.

105. Because payroll is processed prior to payday, the employee's paycheck may already be in process at the time they take leave or terminate. A payroll check can be cancelled and reissued through the Workday Payroll System for a lesser amount that reflects the missed workdays, by the agency payroll partner submitting a Workday Case to OSPS. For an employee who uses direct deposit, an ACH reversal transaction may be attempted if the situation warrants that action. For ACH reversals, those involved must be mindful of the timing of such a reversal so as not to prevent an employee from receiving their paycheck timely, as noted in OAM 45.05.00 *Payroll: Regular Paydays*, paragraph 101, even if this results in an employee receiving an overpayment.

106. When an employee is regularly reporting leave-without-pay due to insufficient leave balances available to support days away from work and that has resulted in more than one occurrence of overpayment, the agency must take immediate action to prevent a recurrence of the overpaid status and to protect against losses or costly collection procedures. The agency may temporarily cancel an employee's direct deposit participation to ensure the maximum amount of time available to make last minute pay corrections. Direct deposit may be restored once the employee accrues sufficient leave balances to support time away from work and the risk of overpayments has decreased.